Applied Value
One Biscayne Tower · 2 S Biscayne Blvd. Suite 1750 · Miami, FL 33131
www.appliedvaluegroup.com

LEAN GROWTH

Building Materials & Products Market Health Report

H1 2026 (Mid-Year)

June 2026 | By: Jacob Wozniewski, Gavin Gattuso

FIRST DRAFT — built off the 2025 YTD edition. Charts reflect verified Applied Value knowledge-base data (Jan–Jun 2026); company financials are FY 2025 actuals (Capital IQ refresh pending). Case studies are real, anonymized AV engagements drawn from the case-study database (confirm client-disclosure permissions and final figures); the per-company financial breakdowns (Figs 6–12) and a few sizing refreshes remain owner inputs. **⚠ Names three real clients — Array Technologies (§4), Heidelberg Materials and Piab (§6). Anonymize all before any external release. Heidelberg and steel figures still need verification.**

Contents

What's new in this edition

This edition keeps the 2025 YTD structure and adds three things: a **Trend Continuity & Retrospective (postmortem)** that scores our last calls against what happened, a dedicated **data-center / AI-infrastructure** demand section, and a fuller treatment of the **consolidation wave**, including Berkshire's $8.5B bet on homebuilding.

Introduction & Executive Summary

Introduction

Building materials and products form the backbone of the construction industry, encompassing core inputs such as cement, lumber, and steel alongside finished components like windows, doors, and roofing. While global trends influence the sector, this report focuses on the U.S. market, drawing on select international benchmarks and risk indicators for context.

Applied Value's analysis combines macroeconomic data with company-level insight to assess the health of key construction segments. This mid-year edition adds a postmortem: **we revisit the forward calls from our November 2025 report and score them against what actually happened.** That sharpens the outlook and shows where the sector moved against expectations. Throughout, we apply Applied Value's Lean Growth framework to help clients manage input-cost inflation, close labor gaps, and run more efficiently.

Performance & Outlook for the US Market

H1 2026 split in two. Rate-sensitive residential stayed weak and choppy: a strong March (housing starts +10.8%) gave way to an April pullback (single-family starts −2.8% to a 1.47M SAAR) and a softer-than-expected May, with a ~$440K median price still pricing buyers out. Nonresidential held firm, but on a different engine than we expected. The driver was private, **AI-driven data-center construction** rather than the federal IIJA/CHIPS/IRA programs we emphasized last edition, and it pulled demand through HVAC, electrical, structural steel, concrete, and coatings.

Input costs, which we flagged as the renewed threat, rose faster than we forecast. Section 232 tariffs reached 50% on steel, aluminum, and copper; producer prices for final demand rose 4.0% year over year, and nonresidential construction inputs climbed at a 12.6% annualized rate. A partial reversal in June then added fresh uncertainty. The corporate story of the half was consolidation, a broad wave across distribution, cement, and HVAC that Berkshire Hathaway capped with its ~$8.5B purchase of homebuilder Taylor Morrison.

Public-company results reflected the split. FY 2025 actuals already showed it: steel (+8.1% average revenue growth), cement & aggregates (+3.4%, with the sector's richest margins near 23%), and HVAC-R (+3.6%, helped by data centers) led, while lumber & wood lagged badly (−11.1% revenue, margins down to ~4%). The path into 2027 turns on three things: the direction of tariff policy, how long data-center demand holds, and whether a rate-gated residential recovery finally arrives.

Key Risks to Monitor

- **A rate-gated recovery that keeps slipping — and may now reverse.** Mortgage rates stayed in the low-6% range but volatile, and the Fed's June 17 hold came with a hawkish turn under new chair Kevin Warsh; the easing-into-recovery path did not arrive, and relief now looks like a 2027 story. Don't forecast demand off the timing of Fed cuts.
- **Tariff and policy whipsaw.** Section 232 rates rose through the spring, then partly reversed in June. The cost line now moves with policy in both directions, and that uncertainty is itself the planning risk.
- **Demand concentration in data centers.** The tailwind is real, but it is gated by power, grid, and permitting — only ~5 of the ~16 GW of planned 2026 US capacity is on track to energize this year — and it ties much of the sector's growth to one capital- and power-intensive source.

- **An affordability ceiling.** A ~$440K median price and soft confidence cap any residential rebound, even if rates ease.

Success Factors and Strategic Priorities

The firms that outperform will do four things well: control cost and tariff exposure, hold pricing, build exposure to data-center demand (directly or through pull-through), and keep the balance-sheet strength to act in a consolidating market and integrate what they buy.

Market Scope

The global construction market is on track for roughly $17.3 trillion in 2026, up from $16.5 trillion in 2025, with Asia-Pacific the largest region. The U.S. is the second-largest market: construction spending ran at a $2.17 trillion seasonally adjusted annual rate in April 2026, up 0.9% year-over-year, with residential near $910 billion and nonresidential near $730 billion. The growth is modest and mostly price rather than volume.

The split inside that total is the real story. Nonresidential demand held up, increasingly on private data-center capital spending rather than the federal programs we emphasized last edition, while residential stayed weak under affordability and financing pressure.

$17.3T	$2.17T	~$910B / ~$730B
Global construction market, 2026 (APAC largest)	U.S. construction spend, Apr 2026 SAAR (+0.9% YoY)	U.S. residential / nonresidential spend

Sources: U.S. Census Bureau, Construction Spending (April 2026 release); global market sizing per industry forecast (TheBusinessResearchCompany, 2026). Figure 1 (Total U.S. Construction Spend time series) refreshed to the latest Census vintage.

Market Context & Outlook

H1 2026 Summary

The macro backdrop softened rather than firmed. Q4 2025 GDP was revised down sharply to 0.7% (from a 1.4% advance), and the Atlanta Fed's GDPNow tracked Q1 2026 down to roughly 1.6% from an initial 3.1%; recession-probability estimates spanned 20–42%. Consumer confidence cratered to a 12-year low of 84.5 in January before clawing back to 91.8 by March. Against that backdrop, demand split: high mortgage rates and affordability kept residential weak, while nonresidential held but on a new driver. Private digital infrastructure took over as the marginal source of demand, and the Architecture Billings Index stabilized below the growth line rather than reversing.

Material costs rose on Section 232 tariffs before a mid-year partial reversal; labor stayed tight, with the first signs of loosening; and credit stayed restrictive for smaller and speculative borrowers even as large, well-capitalized players raised capital freely.

H2 2026 + 2027 Prospectus

Three lessons from this half carry forward. First, the residential recovery is **delayed and gated by rates** — and after the hawkish June 17 hold the base case is now 2027, with a real chance rates rise before they fall — and we will not tie its timing to Fed-cut expectations again after doing so last edition at a cost. Second, tariffs remain the swing factor on cost, but the issue now is **policy volatility**, so plan for moves in both directions. Third, **data centers are the most reliable source of demand** into the back half, and consolidation will keep shifting procurement leverage and channel access for every manufacturer. Federal infrastructure spending provides a stable floor under all of it.

Drivers of Market Health

A range of macroeconomic and industry-specific forces shape the near- and medium-term outlook. The table below ranks the most influential drivers by impact, with recent trend direction (Positive / Neutral / Negative) and whether each is a Leading or Lagging indicator.

Driver	Summary	Indicator	Recent Trend
Interest & Mortgage Rates	Financing conditions for residential, commercial, and industrial projects.	Leading	Negative
Material & Energy Costs	Tariff-driven escalation now the lead cost lever; mid-year reversal adds volatility.	Leading	Negative
Demand Visibility	Permits/backlogs; residential weak, nonres carried by data centers.	Leading	Mixed
Government Infrastructure	Public investment underpins nonres demand; now a floor beneath private digital growth.	Leading	Positive
Labor Dynamics	Tight market and rising wages constrain delivery; first signs of loosening.	Lagging	Negative
Credit Availability	Lending conditions, especially for commercial/speculative developments.	Leading	Negative
GDP & Consumer Confidence	Broader conditions and sentiment drive overall construction demand.	Lagging	Negative

Recent Trends & Outlook

Interest and Mortgage Rates

The Federal Reserve held the federal funds target at 3.50–3.75% across the half — a March 18 hold, then a unanimous 12–0 hold on June 17, the fourth in a row. The June meeting changed the tone, not the rate: Kevin Warsh's first as chairman turned hawkish — forward guidance dropped, the end-2026 inflation projection raised to 3.6%, and the dot-plot median for the end-2026 funds rate lifted to roughly 3.6–4.1%, with nine of 18 participants now projecting a hike rather than a cut. The 30-year fixed mortgage stayed in the low-6% range but volatile: it climbed for five straight weeks to 6.46% in early April, fell to 6.20% within days, then edged back to 6.36%. Our last base case — easing "takes hold," mortgage toward 6.2–6.35%, residential recovering in 2026 — did not play out, and the June decision pushes relief further out; new-home sales slumped in April.

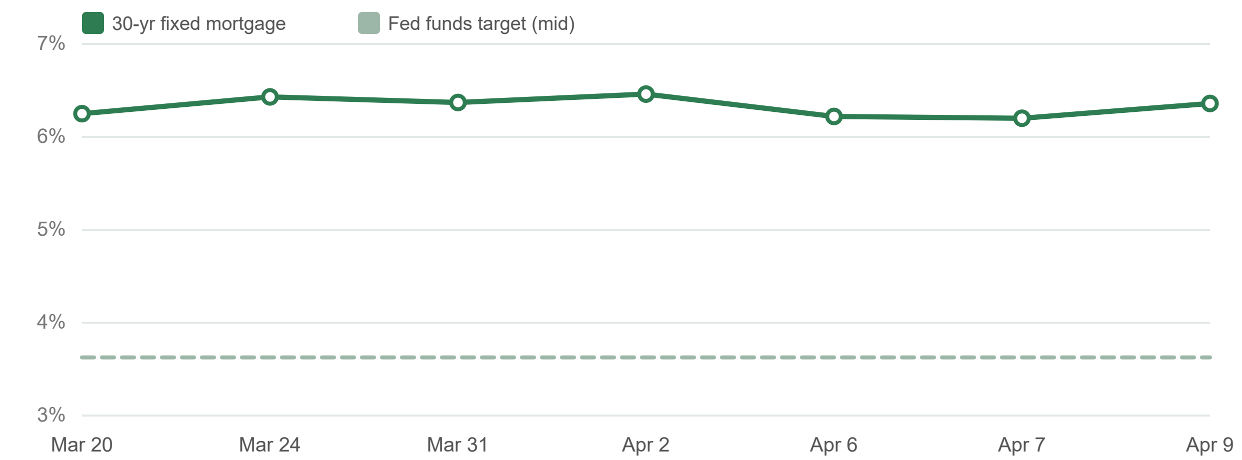


Figure 2: 30-year fixed mortgage rate — volatile in the low-6s (a quarter-point round trip in under two weeks) — against a held Fed funds target. Source: Freddie Mac / Zillow / Optimal Blue; Federal Reserve. AV KB.

Impact on Construction: Elevated, volatile borrowing costs suppress new single-family starts and delay commercial commitments; refinancing remains unattractive, limiting capital recycling.

Implication for Materials & Products: Framing, finishing, and HVAC demand softens in residential channels. Less rate-sensitive infrastructure and institutional projects provide partial offset.

Material and Energy Costs

This was our strongest call last edition, and we understated how far it would go. Effective April 2–6, Section 232 tariffs reached 50% on steel, aluminum, and copper (derivatives 25%, softwood lumber 10%). Producer prices for final demand rose 4.0% YoY in March (largest since February 2023); nonresidential construction inputs surged at a 12.6% annualized rate — the fastest since early 2022. Hot-rolled coil steel breached $1,000/ton (+23% off January lows) as the import share fell from ~25% to 14%. Brookings estimated the tariffs add ~$17,500 per new home — well above our prior $7,500–$10,000 range. A mid-year partial reversal ("Trump tariff cuts," USMCA steel-relief talks) then followed. Lumber, by contrast, fell to a 17-month low near $508 amid soft residential demand.

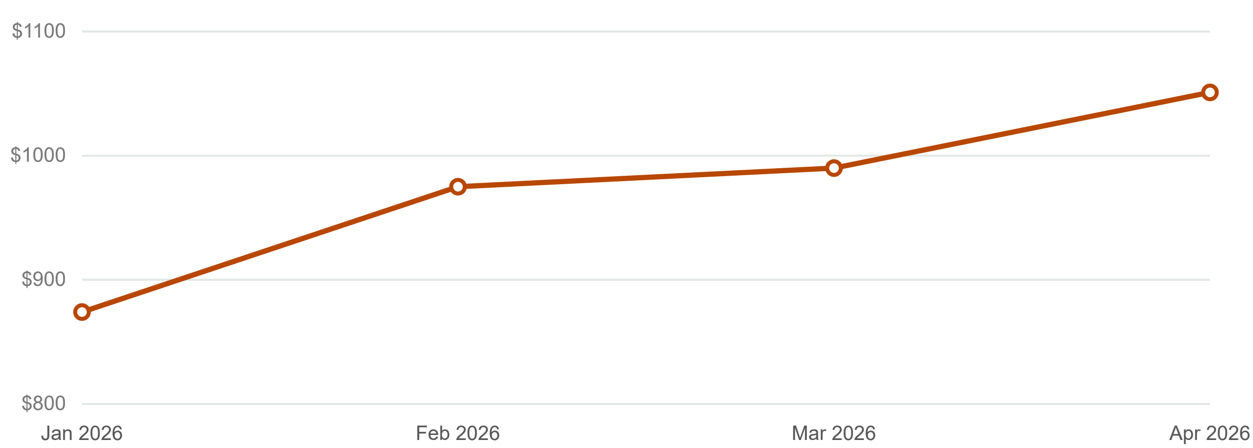


Figure 3: Hot-rolled coil steel breached $1,000/ton (+23% off January lows) under 50% Section 232 tariffs. Construction PPI ran +4.0% YoY; framing lumber, by contrast, fell to a 17-month low (~$508). Source: Trading Economics / CME; BLS. AV KB.

Impact on Construction: Tariff escalation is a direct threat to project economics; the subsequent reversal makes cost forecasting a moving target.

Implication for Materials & Products: Metals-intensive products face margin pressure and re-sourcing decisions, and the bigger risk now is the volatility of policy itself, more than the price level.

APPLIED VALUE IN ACTION · STEEL COST & COMMODITY-VOLATILITY MITIGATION

For Array Technologies, Applied Value assessed steel-sourcing maturity against best-in-class and benchmarked spend across its network of 27+ mill and service-center relationships, then quantified a roadmap: $79–114/ST in steel-cost reduction by consolidating flat steel onto a directed-buy program, a further $20–40/ST by reshaping the sourcing footprint, and up to ±$26M in gross-margin-variance reduction through scrap/HRC indexation. (Real AV engagement.)

⚠ PRE-PUBLICATION — MUST ANONYMIZE BEFORE ANY EXTERNAL RELEASE

Names Array Technologies (client match tentative). Before external release, confirm client-disclosure permission or anonymize (e.g., "a steel-intensive equipment manufacturer"). The $79–114/ST and ±$26M figures are not yet traced to a source deck — verify before use. (Internal review draft only.)

Demand Visibility — Residential

Residential demand was choppy and ultimately soft: March starts surged 10.8%, single-family starts then fell 2.8% in April to a 1.47M SAAR, and both starts and permits dropped more than expected in May. Mortgage buydowns and incentives continued; absorption stayed slow amid record price-to-income ratios.

Impact on Construction: A muted, rate-gated single-family pipeline into H2 2026, with no clean directional trend.

Implication for Materials & Products: Ongoing weakness restrains framing and finishing demand; R&R activity provides partial offset.

Demand Visibility — Nonresidential & Infrastructure

Nonresidential pipelines held, but the marginal driver shifted decisively from the federal programs we emphasized to a private **data-center / AI-infrastructure boom** — large enough this half to warrant its own section (see §5). The Architecture Billings Index captured the broader nuance: 48.5 (Dec) → 43.8 (Jan) → 49.4 (Feb), bottoming below the 50 growth line rather than recovering through it.

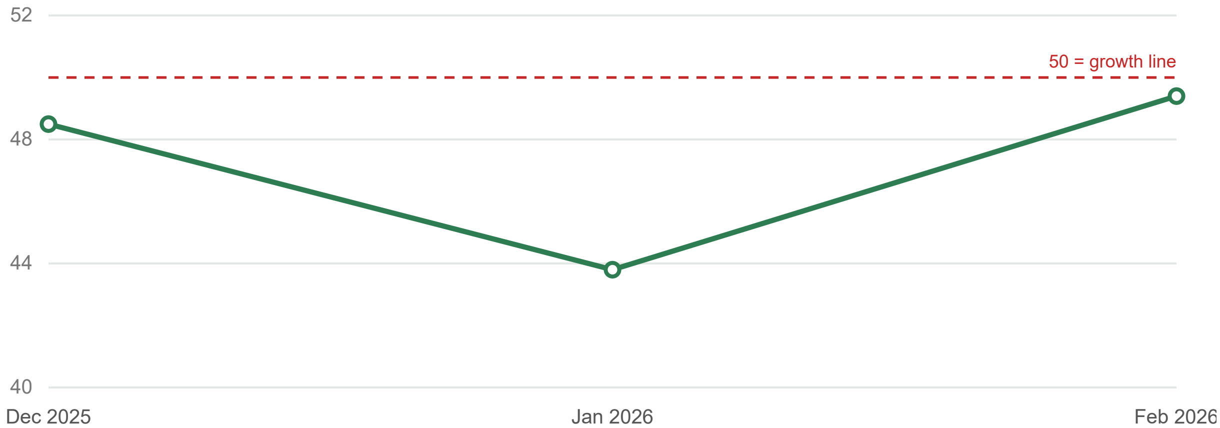


Figure 4: The Architecture Billings Index stabilized below the 50 growth line — bottoming, not reversing. Source: AIA. AV KB.

Impact on Construction: Beyond data centers, private nonresidential remained soft; institutional and infrastructure backlogs sustained activity.

Implication for Materials & Products: Heavy materials demand stayed stable; interior and finishing products will stay muted until broad private project flow improves.

Government Infrastructure Spending

Over $430 billion in federal funding remains deployed under IIJA, CHIPS, and IRA, providing multiyear visibility for transportation, water, broadband, and manufacturing infrastructure. The programs remain intact — but private data-center capital expenditure eclipsed them as the marginal driver of nonresidential demand this half.

Impact on Construction: Federal funding establishes a durable floor; the growth engine has shifted to private digital infrastructure.

Implication for Materials & Products: Durable demand for aggregates, concrete, asphalt, and steel persists, now augmented by data-center pull-through.

Labor Dynamics

Construction labor remained a binding constraint on starts (NAHB), with workforce-development initiatives continuing. But ISM Services employment turned to contraction — the first genuine loosening signal and precisely the wage-moderation watchpoint we flagged in November.

Impact on Construction: Structural scarcity still constrains capacity, though the first cracks are appearing.

Implication for Materials & Products: Firms investing in prefabrication and labor-saving products retain a competitive advantage.

Credit Availability and Lending Standards

Credit stayed restrictive for small and speculative borrowers — elevated equity requirements, cautious underwriting — while large, well-capitalized players raised capital freely (CEMEX alone secured a $3B sustainability-linked revolver and $1.5B in notes). Consumer-credit stress was visible (LendingTree revenue −22%).

Impact on Construction: Restrictive lending continues to concentrate activity among large sponsors.

Implication for Materials & Products: Weaker order flow in speculative housing and commercial; well-capitalized contractors consolidate procurement.

GDP Growth and Consumer Confidence

Q4 2025 GDP was revised down to 0.7% and Q1 2026 tracked ~1.6%; consumer sentiment hit a 12-year low of 84.5 in January before recovering to 91.8 by March. Housing affordability remains near multi-decade lows. The divergence we flagged held — but GDP is now slowing toward weak sentiment rather than the gap closing upward.

Impact on Construction: The GDP–sentiment gap continues to constrain discretionary residential and commercial projects.

Implication for Materials & Products: Muted homeowner and small-business spending limits R&R and fit-out uplift, weighing on mid- to high-end finishes.

Conclusion: Implications from Sector Drivers

The U.S. construction industry faces a challenging but manageable outlook. Residential will stay subdued amid high rates and affordability constraints; nonresidential demand is anchored by infrastructure and, increasingly, data-center investment. Persistent labor tightness and restrictive credit constrain delivery and financing, while tariff policy remains the dominant swing factor on cost.

> **Why GDP Strength is not Reflected in Sentiment**
>
> U.S. GDP recovered strongly from the COVID era, yet consumer confidence remains historically depressed. This divergence reflects lingering inflation effects, declining trust in economic mobility, and pessimistic survey biases. For building materials and construction, caution persists less because of macro weakness than because sentiment itself tempers demand even when fundamentals are positive. In 2026, an affordability ceiling that monetary policy has not yet relieved adds to the drag.

5 · Data-Center & AI-Infrastructure Demand

The biggest demand surprise of the half was the construction wave driven by AI data centers. We under-weighted it last edition. This half it became the dominant driver of nonresidential demand and pulled through nearly every tracked segment.

Where the demand showed up

The build-out pulls through the full building-materials stack — aggregates, cement, and structural steel for the shell; electrical gear, power equipment, and HVAC/liquid-cooling for the fit-out; insulation, coatings, and panels for the envelope. The signals ran across our coverage: Trane and Johnson Controls scaling data-center thermal lines, Carrier and AAON chasing the cooling load, Sterling Infrastructure repositioning as a pure-play data-center builder, and Sherwin-Williams, USG, and Kingspan tying finishes and envelope to a pipeline that now runs from West Texas and DFW to the Nordics and APAC.

Demand isn't the constraint — deliverable capacity is

Demand isn't the constraint; deliverable capacity is — and the bottlenecks sit in the construction path. Of the ~16 GW of U.S. capacity planned for 2026, only ~5 GW is on track to energize this year, against a 25.3 GW Americas pipeline (89% pre-committed) and $700B of global hyperscaler capex. Power leads: HV transformers run ~4 years out (~80% imported, against a ~30% U.S. supply deficit through 2027), grid queues stretch 5–7 years against 12–18-month builds, and behind-the-meter generation is now standard — pushing power-equipment backlogs to records (Caterpillar $63B, +79% YoY; GE Vernova sold out of gas turbines to 2030). Permitting and construction labor gate the rest — $156B of projects were blocked or delayed across 2025 and Q1 2026 (Texas SB 6, Virginia HB 507), and contractor backlogs have tripled to ~10 months amid a ~440K-worker shortage led by electricians (~$14M of lost revenue per month a 60 MW site slips). On cooling, a $15B+ M&A wave (Eaton–Boyd $9.5B, Ecolab–CoolIT $4.75B) is adding capacity as liquid-cooling adoption climbs from 22% to ~40%. (Detail: Applied Value's *H1 2026 US Data Center Supply Chain Report*.)

Impact on Construction: Data-center construction is the clearest source of nonresidential growth, but it is gated by power, grid interconnection, permitting, and labor — only ~5 of ~16 GW of planned 2026 US capacity is on track to energize.

Implication for Materials & Products: HVAC/thermal, electrical, structural steel, concrete, and coatings see direct pull-through, but timing depends on what can actually get energized. The winners are tied to the unlocking layers — power and electrical equipment, prefabrication, and cooling — and can plan around multi-year power and permitting timelines. It remains a concentrated bet on one capital- and power-intensive source.

6 · The Consolidation Wave (M&A)

The corporate story of the half was consolidation: broad, cross-segment, and capped by Berkshire's vote of confidence in American housing. We called continued M&A last edition; it accelerated, with 2025 deal volume up 30%, and now warrants its own section.

⭐ **The signature finding: Berkshire's housing bet**

On May 31, Berkshire Hathaway agreed to acquire homebuilder Taylor Morrison for ~$8.5B (all-cash, $72.50/share, ~24% premium; 350+ communities across 21 markets). What matters is the buyer. Berkshire is conservative and long-horizon, and it paid a premium for a homebuilder at the bottom of the cycle. That signals the housing market may have bottomed, even with starts still soft. With its earlier Nucor stake, Berkshire is now making a large, deliberate bet on U.S. construction.

Distribution mega-consolidation — the structural story

Acquirer	Target	Value	Date	Note
QXO	TopBuild	$17B	Apr 19	Brad Jacobs' roll-up goes mega-cap; insulation/installation.
Home Depot (SRS)	GMS	$5.5B	Mar 1 (closed)	Pro-market / specialty distribution transformation.
Lowe's	FBM	—	Mar 25	Lowe's pushes into pro distribution (vs. HD/GMS).
QXO	Kodiak Building Partners	$2.25B	Apr 1 (closed)	Plus a $1.8B raise + Apollo-led $1.2B war chest.

Building-products distribution is consolidating into a handful of national players: QXO, Home Depot/SRS, and Lowe's. That shifts procurement leverage, pricing power, and channel access for every manufacturer. Materials and HVAC consolidated in parallel: Holcim's 15-deal 2026 plan and $1.5B Cementos Pacasmayo stake; Martin Marietta's Quikrete asset exchange; Heidelberg's AUD 1.7B Maas Group deal; and the data-center-linked HVAC deals (Trane/LiquidStack, JCI/Alloy). Private equity is expected to turn into an active seller, which should sustain deal flow into 2027.

Impact on Construction: Buyer concentration in distribution shifts negotiating power and route-to-market for manufacturers.

Implication for Materials & Products: Procurement leverage, channel access, and buy-vs-build calculus are all in play — and post-deal integration becomes a core value driver.

APPLIED VALUE IN ACTION · PROCUREMENT LEVERAGE AT A MAJOR BUILDING-MATERIALS PRODUCER

For Heidelberg Materials — one of the world's largest building-materials companies — Applied Value ran a structured RFP across its North American cement outbound-truck network (28 plants/terminals, 250+ carriers, ~$150.9M addressable spend), consolidating the carrier base and standardizing contracts and fuel schedules. Early workstreams delivered $2.8M (12%) in freight savings and recovered ~$700K/month via 50 newly identified haulers, with ~$7.5M (5%) targeted across the full network — while cutting RFP cycle time by four months. (Real AV engagement.)

⚠ PRE-PUBLICATION — MUST ANONYMIZE BEFORE ANY EXTERNAL RELEASE

This section names real clients — Heidelberg Materials (procurement leverage) and Piab (post-deal value creation). Do not distribute externally until client-disclosure permission is confirmed; otherwise anonymize (e.g., "a top-three global cement producer"). Also verify the Heidelberg figures — source decks show $5.75M/$6.0M variants, not the $2.8M/$7.5M/$150.9M shown here. (Internal review draft only.)

APPLIED VALUE IN ACTION · POST-DEAL VALUE CREATION

For Piab, a private-equity-owned industrial business, Applied Value led commercial supplier negotiations to drive post-deal value — harmonizing competing quotes onto a like-for-like basis, building fact-based negotiation materials, and running multiple rounds — resulting in a >20% reduction in prices. The same playbook applies to the integration agenda behind this half's deal wave: capturing procurement and footprint synergies once a transaction closes. (Real AV engagement — IT-vendor outsourcing negotiation.)

Sales hook

When a buyer like Berkshire pays a 24% premium for a homebuilder at a cyclical low, and three national players race to roll up distribution, the strategic questions for our clients are immediate: where does this leave your procurement leverage, your channel access, and your own buy-versus-build calculus?

Public Company Performance Snapshot (H1 2026)

Across the 39-company universe, FY 2025 actuals (the most recent complete period in our data) already pointed to the H1 2026 split: segments tied to this half's tailwinds led, and residential-exposed segments lagged.

Steel posted the strongest revenue growth (+8.1% average; Steel Dynamics +14.0%, Nucor +8.6%) as Section 232 tariffs lifted domestic pricing. Cement & aggregates paired solid growth (+3.4%) with the richest margins (23.3% average EBITDA, +1.7pp; Martin Marietta 34.3%, Vulcan 29.1%). HVAC-R grew +3.6% with expanding margins on data-center pull-through (Daikin +7.9%, Johnson Controls +6.8%, Trane +5.6%). At the other end, lumber & wood was the clear laggard (−11.1% revenue, EBITDA margin down 4.9pp to 4.4%; West Fraser −17.1%, Interfor −19.5%), with residential-exposed distribution (Builders FirstSource −12.1%) and doors & windows (JELD-WEN −10.5%) reflecting the same housing weakness.

Performance Themes (H1 2026)

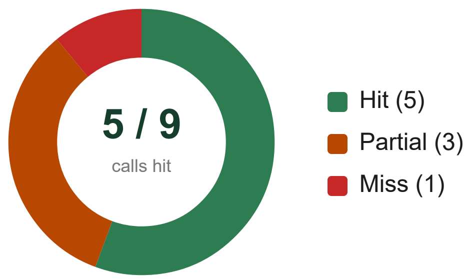
- **Tariff-driven steel strength:** Section 232 duties lifted domestic steel pricing and volume, the standout revenue gainer.
- **Data-center pull-through:** HVAC/thermal and select envelope names captured AI-infrastructure demand as a new growth vector.
- **Pricing power in heavy materials:** Aggregates and cement protected and expanded margins on durable infrastructure demand.
- **The consolidation wave:** Strategic M&A intensified (2025 deal volume +30%), reshaping distribution and procurement leverage.
- **R&R as a defensive segment:** Steady repair-and-remodel demand offset new-build softness for residential-exposed firms.

Positioning for H2 2026 & Beyond

Firms tied to public infrastructure, heavy materials, and now data-center demand are positioned for stability. Residential-focused operators will lean on R&R, efficiency gains, and disciplined pricing. With the ABI bottoming below the growth line rather than reversing, private nonresidential beyond data centers should stay subdued into early 2027.

Trend Continuity & Retrospective Analysis

New prominence this edition: an explicit accounting of our last set of forward calls. Of nine predictions in the November 2025 report, **five landed cleanly, three were partially right, and one missed.** We were right on cost/tariff pressure, labor tightness, credit, the GDP–sentiment gap, and the M&A wave; partially right on residential (direction right, timing hard), on nonresidential resilience (the outcome held, but the engine was data-center demand, not the federal programs we named), and on the ABI (it bottomed, as we expected, but stabilized below 50 instead of reversing). We missed one outright: the rate-driven residential recovery we expected on a 2026 timeline did not arrive.



Variances from Expectation

Prediction (Nov 2025)	What happened (H1 2026)	Verdict	Implication
Rates ease → residential recovers	Held all half (4th hold Jun 17); Fed turned hawkish, hike now likelier than cut	MISS	Plan residential off rate volatility, not Fed-cut timing; the recovery is now a 2027 case, so hold capacity for a later, sharper rebound rather than a smooth ramp.
Single-family demand muted	Choppy, resolved downward (Mar +10.8% → May down)	PARTIAL	Direction right, timing was the hard part; size capacity to choppy demand, not a recovery curve.
Tariffs the renewed cost threat	PPI +4.0% YoY; steel >$1,000/ton; ~$17,500/home; June reversal	HIT	Model tariffs in both directions; the planning risk is policy volatility, not the price level.
Nonres resilient on IIJA/CHIPS/IRA	Resilient — but data centers were the engine	PARTIAL	The engine changed; reweight commercial exposure toward data-center pull-through, federal programs as the floor.
Labor binding; watch wage moderation	Still tight; ISM employment contracting	HIT	Still the binding constraint; keep investing in prefab, and watch the first wage relief as labor loosens.
Credit stays restrictive	Held; large caps raised freely	HIT	Scale and balance-sheet strength stay the dividing line in financing and M&A.
GDP–sentiment gap persists	Persisted; GDP now softening too	HIT	Headline GDP overstates ground-level demand; weight order books

Prediction (Nov 2025)	What happened (H1 2026)	Verdict	Implication
			and confidence over the top-line print.
M&A continues (+24% YoY)	Accelerated; +30% volume; Berkshire $8.5B	HIT	Consolidation is reshaping procurement leverage; revisit buy-vs-build and supplier strategy now, not after the next deal.
ABI reversal; backlog moderation	Stabilized below 50 (48.5→43.8→49.4); no reversal	PARTIAL	Billings bottomed but have not turned; gate commercial capacity on an ABI cross back above 50.

The M&A call (#8) was not only right but intensified — the consolidation wave and Berkshire's $8.5B homebuilding bet are covered in depth in §6.

Looking Ahead

Key variables into H2 2026 and 2027: the direction and durability of tariff policy (escalation vs. the June reversal), the runway and constraints of data-center demand, the pace of any Fed easing and its pass-through to mortgage rates, and whether the ABI finally crosses back above 50. Watchpoints also include the next leg of the consolidation wave and the first evidence of wage moderation as labor loosens.

How Applied Value Can Help

Applied Value delivers measurable results for building materials and construction companies through its Lean Growth framework, centered on **Focus, Simplicity, and Speed.** The dynamics in this report map directly to where we add value:

- **Sourcing and supply chain.** Cut cost through supplier negotiations, tariff re-sourcing, risk mitigation, and tighter inventory.
- **M&A and portfolio.** Find value-accretive adjacencies and run the post-merger integration.
- **Growth.** Position to win data-center and digital-infrastructure demand.
- **Pricing and commercial strategy.** Strengthen pricing and segmentation to protect margins.
- **Operations and digitalization.** Simplify processes and give teams real-time data to act on.

Representative Engagements

The dynamics in this report map directly to recent Applied Value work (these appear as kickers throughout):

- **Steel cost & commodity-volatility mitigation** — Array Technologies; directed-buy and indexation roadmap; $79–114/ST steel-cost reduction and up to ±$26M margin-variance reduction. (see §4 Material & Energy Costs)
- **Procurement leverage at scale** — Heidelberg Materials cement-network RFP; $2.8M (12%) freight savings, $7.5M (5%) targeted on $150.9M spend. (see §6 M&A)
- **Post-deal value creation** — Piab; fact-based supplier negotiations for a PE-owned industrial; >20% price reduction. (see §6 M&A)

⚠ PRE-PUBLICATION — MUST ANONYMIZE BEFORE ANY EXTERNAL RELEASE
All three engagements above name real clients — Array Technologies (§4), Heidelberg Materials and Piab (§6). Anonymize every one before any external release (confirm client-disclosure permission or use a sector descriptor). Two figures still need verification: Heidelberg ($2.8M/$7.5M/$150.9M — source decks show $5.75M/$6.0M) and steel ($79–114/ST, ±$26M — not yet traced to a source deck; Array Technologies is a tentative match). (Internal review draft only.)

Interested in learning more? Contact one of our offices:

Max Sultan
Partner · Miami
+1 (978) 760-9971

Alexander Schneider
Senior Manager · Miami
+1 (561) 289-1313

Jacob Wozniewski
Senior Consultant · Miami
+1 (351) 216-9648

Public Company Performance Detail

This report analyzes 39 building materials and products companies operating in or selling into the U.S. The table below summarizes FY 2025 performance by segment; per-company H1 2026 metric charts (revenue growth, COGS/Sales, SG&A/Sales, EBITDA margin, split Materials vs. Products) will be added as the universe reports and the Capital IQ feed is refreshed.

Segment	Avg revenue growth	Avg EBITDA margin	Read
Steel	**+8.1%**	10.3%	Tariff tailwind on price + volume
HVAC-R, Fire & Security	**+3.6%**	16.5%	Data-center pull-through
Cement, Aggregates & Ready-mix	**+3.4%**	23.3%	Pricing power; richest margins (+1.7pp)
Retail & Distribution	**+3.2%**	14.9%	R&R resilience (Home Depot, Lowe's)
Piping (Adv. Drainage)	**+0.4%**	30.1%	Infrastructure / water demand
Kitchen & Bath	0.0%	22.4%	Flat; soft remodel
Building Envelope / Roofing / Insulation	**−0.7%**	14.1%	BLDR drag offset by Carlisle, IBP
Doors & Windows	**−3.7%**	10.5%	Residential drag (JELD-WEN −10.5%)
Glass	**−5.5%**	17.3%	Mixed; portfolio reshaping
Bricks & Masonry (Wienerberger)	**−6.4%**	14.0%	European residential softness
Lumber & Wood	**−11.1%**	4.4%	The laggard — demand + price collapse

Source: Applied Value knowledge base (financial_ratios), FY 2025 actuals. Capital IQ wiring pending; last refresh April 2026. Figures will be updated to H1 2026 as companies report.

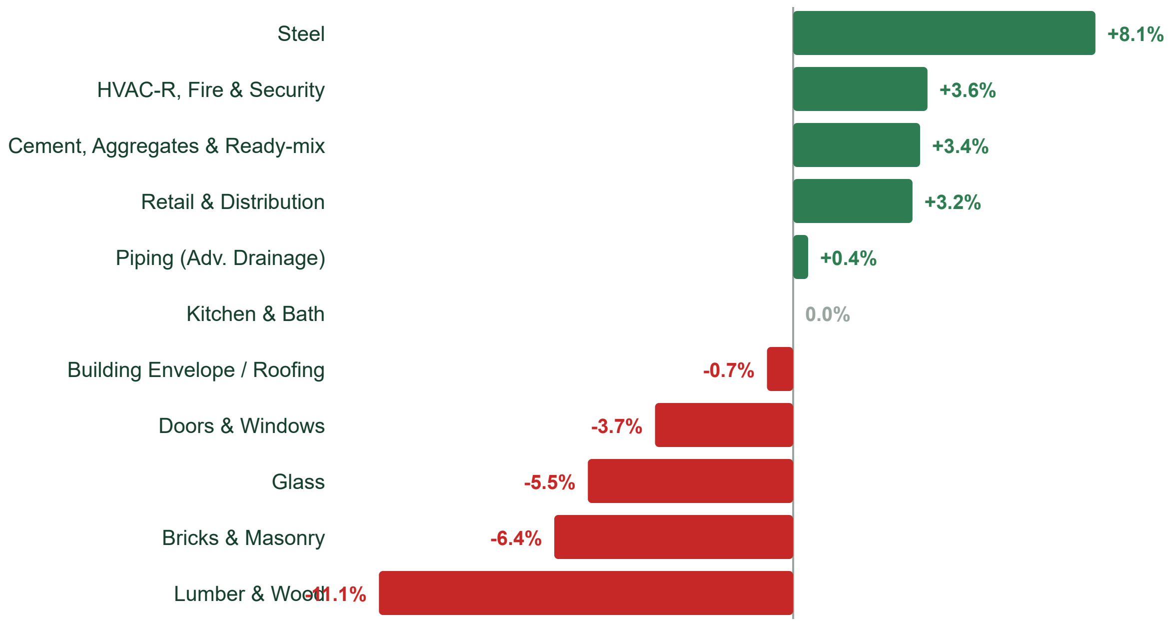


Figure 5: FY 2025 average revenue growth by segment — steel led on tariffs; lumber & wood was the clear laggard. Source: AV KB (financial_ratios).

Figures 6–12 (per-company COGS/Sales, SG&A/Sales, and EBITDA-margin breakdowns split Materials vs. Products, per the 2025 YTD edition) will be generated once the Capital IQ feed is refreshed to H1 2026.

Appendix

Appendix #1: Applied Value in Review

[Insert recent quarter highlights — carried forward and updated from the 2025 YTD "AV Q3 2025 in Review."]

Appendix #2: Additional Reports & Contact Information

Report	Frequency	Owner
Steel Report	Quarterly	Eli Kaganov
Pulp & Paper	Quarterly	Jack Troller
Non-Ferrous	Quarterly	Grant Burden
Telecom	Semi-Annual	Lambert Rutaganda
Auto Tier 1	Semi-Annual	Leo Yang
Tariff Updates	As Needed	Justin Leopold
Logistics & Transportation	Quarterly	Chris Lange

Applied Value Group is a premier boutique management consulting, investment, and social impact firm with a global presence, focused on ROI and tangible bottom-line results for our clients.